

Nov 14, 2025

Media

AENT

NASDAQ

Rating

Outperform

Unchanged

Current Price

\$6.66

Target Price

\$11.00

Market Capitalization

339.38m

Shares Outstanding

50.96m

Float

11.41m

Institutional Holdings

47.13%

12-Month Low/High

\$2.21/\$11.57

Average 90-Day Volume

70950

Fiscal Year End

06/30/2026

Alliance Entertainment Holding

Favorable Momentum Into Fiscal Second Quarter

Overachieved fiscal first quarter. Total revenues increased a solid 10.9% to \$253.9 million, better than our \$244.0 million estimate, bolstered by a 59% increase in movie sales. In addition, adj. EBITDA of \$12.2 million, up roughly 260% y-o-y, was better than our \$9.5 million estimate, reflecting a 330 basis point improvement in margins. Figure #1 Q3 Results highlights our estimates and the recent results.

Strong movie sales likely to continue. Movie sales revenues increased 59% to \$84.0 million, well above our \$74.9 million estimate, a reflection of a recent licensing agreement with Paramount Pictures, and, to a smaller extent by strong Steelbook sales. The Paramount Pictures licensing revenue lift is likely to bolster total company revenues for the next few quarters.

Raising second quarter estimates. Given favorable operating momentum, we are raising our fiscal Q2 revenue estimate from \$394.8 million to \$402.2 million and our adj. EBITDA estimate from \$24.8 million to \$25.3 million. We are flowing through the first quarter upside and our Q2 revision to our full year estimate, raising fiscal 2026 revenue to \$1.096 billion from \$1.089 billion and adj. EBITDA to \$54.7 million from \$51.5 million.

M&A a part of its growth strategy. The company recently strengthened its financial position with a 5 year \$120 million senior credit facility, which reduced its borrowing costs by 250 basis points. There is \$61 million undrawn availability on its credit facility, which may be used for future acquisitions. Interest expense savings are roughly \$1.5 million savings per year.

Attractive stock valuation. Near current levels the AENT shares trade at 7.2x calendar 2026 adj. EBITDA, well below the peer group average of roughly 11x. We believe this gap undervalues the company's ability to generate improved adj. EBITDA through higher-margin revenue streams and acquisition fueled growth. The shares are rated Outperform with an \$11 price target.

Equity Research

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Revenues (\$ MIL)

Period	2025	2026	2027
Q1	229.0	253.9A	
Q2	393.7	402.2E	
Q3	213.0	217.4E	
Q4	227.8	223.5E	
	1063.5	1096.9E	1123.0E

EPS (\$)

Period	2025A	2026	2027
Q1	0.01	0.10A	
Q2	0.14	0.31E	
Q3	0.04	0.08E	
Q4	0.11	0.09E	
	0.30	0.57E	0.68E

Investment Appraisal

Alliance Entertainment started its fiscal year off with a strong start, exceeding our expectations. As Figure #1 Fiscal First Quarter Results illustrate, total revenues increased a solid 10.9% to \$253.9 million, better than our \$244.0 million estimate, driven by broad-based strength across physical media, collectibles, and direct-to-consumer channels. Movie sales contributed to the largest variance to our estimates, with revenues up an impressive 59%, bolstered by the company's earlier Paramount Picture licensing agreement.

Gross profit rose 46% to \$37.2 million, supported by a 340-basis-point improvement in gross margin to 14.6%, while operating income increased nearly fivefold to \$10.5 million. Net income improved to \$4.9 million, or \$0.10 per diluted share, compared with \$0.4 million in the prior-year period. Adjusted EBITDA grew to \$12.2 million, up 259% from the prior year, was better than our estimate.

Cost of revenues increased from \$203.5 million to \$216.8 million, or 7%, primarily due to higher sales volume. Revenue growth and favorable category mix, however, enabled gross margin to expand from 11.2% to 14.6%. This improvement was driven by higher average selling prices in premium physical media, enhanced inventory management, and modest easing of freight costs, together with the continued impact of operational investments in automation and fulfillment efficiency. Management noted that margin performance reflects structural gains rather than temporary factors, reinforced by the rollout of enterprise-wide AI tools and a more profitable product mix across proprietary and exclusive content offerings. As such, we look for the margin improvement to be somewhat sustainable into future quarters.

As we look forward toward the fiscal second quarter, we believe that there is favorable operating momentum. Vinyl sales, in particular, appear to be healthy and at least similar to the attractive growth in the first quarter. The performance is expected to be supported by the additional distribution deals in AMPED Entertainment and the release of Taylor Swifts 11th album *Life of a Showgirl*, which fell into the fiscal second quarter. Notably, Virgin Music shifted its indie music labels, which included the physical distribution of CDs and vinyls to Alliance Entertainment's AMPED distribution company. That shift was not entirely reflected in the fiscal first quarter. As such, we believe that there will be another strong quarter in Vinyl and CDs in Q2. While we are raising our fiscal second quarter Vinyl Record Sales from \$110.7 million to \$118.0 million, we believe that there could be upside to these estimates.

As a result, we are raising our fiscal Q2 revenue estimate from \$394.8 million to \$402.1 million and raising our adj. EBITDA estimate from \$24.8 million to \$25.3 million. Our adj. EBITDA estimate anticipates a similar margin than our previous margin at 6.3%. Figure #2 Fiscal Q2 and Fiscal Full Year 2026 Revisions highlight our estimate updates. We are flowing through the fiscal first quarter upside and the fiscal second quarter revision to our fiscal full year 2026 expectation. As such, our fiscal full year 2026 revenue estimate is raised from \$1.089 billion to \$1.097 billion. Our adj. EBITDA estimate is raised from \$51.5 million to \$54.7 million.

While the internal growth at the company appears to be firing on all cylinders, management appears to be seeking other growth opportunities. Management indicated that Alliance has a history of making acquisitions, making 15 acquisitions during its history. Notably, the company has significant liquidity to make acquisitions. It recently closed on a 5-year, \$120M senior secured revolving credit facility with Bank of America, substantially lowering its interest rate from SOFR + 4% to SOFR + 1 5/8%, a 240 to 250 basis point cut. This significantly reduced interest expense 17% year over year, roughly a \$1.5 million savings. The company currently has \$60 million in borrowings and has roughly \$60 million in undrawn capacity. As such, there is significant liquidity to seek acquisition fueled growth.

Management described the current pipeline as active but the company has a disciplined strategy. Its focus is on extending licensing relationships, deepening its collectibles portfolio and/or enhancing e-commerce and fulfillment capabilities. The company identified acquisition target candidates as specialty brands, niche distributors, and complementary entertainment businesses aligned with a capital-light model.

We do not believe that the AENT shares fully reflect the significant growth opportunities at the company. Near current levels, the shares trade at 7.2x our revised calendar 2026 adj. EBITDA, a meaningful discount to the peer group average of roughly 11x. We believe this gap undervalues the company's ability to generate improved adj. EBITDA through higher-margin revenue

streams and discounts acquisition fueled growth opportunities. Our price target is \$11, which reflects a valuation more in line with peer multiples on EV/2026 EBITDA. Importantly, our valuation framework is grounded in what we view as conservative assumptions, leaving room for positive surprise if execution exceeds expectations.

Behind the numbers...

The key drivers to the strong fiscal first quarter results seem to have favorable momentum into the second quarter. While we are tweaking our second quarter estimates higher, we believe that there is positive upside surprise potential even to these upwardly revised estimates. Our detailed fiscal first quarterly breakdown follows along with our second quarter revisions.

Music Sales

The music category delivered solid performance led by vinyl, where revenue increased from \$70.5 million to \$75.8 million, representing growth of 7.6% year over year. Vinyl revenue was better than our expectations of \$73.7 million and was driven by an 8.3% rise in unit volume, partially offset by a modest 0.7% reduction in average selling price. Consumer demand for vinyl remained robust, supported by strong new release activity, expanded retail distribution, and enthusiasm among collectors and enthusiasts seeking premium and limited-edition formats. Compact disc revenue declined slightly from \$34.4 million to \$33.9 million, reflecting a 1.4% decrease, in line with our expectations. The slight decrease in CD revenue was driven primarily by a 5.2% decline in average selling price, partially offset by a 4.0% increase in unit volume. Although the broader market continues to shift toward streaming, demand remained resilient for specialty titles such as K-Pop and collectible editions.

Notably, the quarter did not benefit from the Taylor Swift's 11th album release *Life of a Showgirl*, which will fall in the company's fiscal second quarter. In addition, the recent Virgin Music distribution deal for Alliance Entertainment's AMPED Entertainment division to distribute Virgin's indie music labels, which included the physical distribution of CDs and vinyls, only partially impacted the fiscal first quarter. That agreement will fully affect the second quarter. Combined with the prospect of a favorable consumer economy for the Holiday season, we believe that Q2 likely will be at least as strong as Q1. As such, we are raising our Q2 revenue expectation from \$110.7 million to \$118.0 million, which implies 8.3% revenue growth, slightly higher than the 7.5% growth in the fiscal first quarter.

Movie Sales

Physical movie sales were a standout performer, rising from \$52.9 million to \$84.0 million, an increase of 58.7% year over year. Strong unit shipments, combined with a 2.5% increase in average selling price, contributed to substantial growth across DVD, Blu-ray, and 4K Ultra HD formats. We believe that the largest contributor to the strong results was the licensing agreement with Paramount Pictures, which is expected to favorably impact the next several quarters. Finally, the segment also benefited from a consistent flow of theatrical releases and growing consumer interest in premium formats, including collectible SteelBooks. The Company's new exclusive content partnership, along with its existing licensing agreement with Paramount Pictures, further strengthened its film portfolio and enhanced in-store visibility, supporting higher price realization and driving mix improvement. Alliance expects these trends to persist as retailers prioritize curated, higher-value assortments and omnichannel strategies.

We believe that Movie Sales will remain robust into the fiscal second quarter, supported by the Paramount Pictures licensing deal. As such, our Movie Sales are expected to increase revenue 23% to \$106.1 million in fiscal Q2. There is a prospect for positive upside surprise potential, supported by the prospect for strong steelbook sales into the Holiday season. We agree with management that all studios will eventually move to a licensing model in physical media. Alliance is positioning itself as the preferred partner.

Consumer Products

In the consumer products category, which includes collectibles and electronics, revenue increased 14.4% year over year to \$8.3 million. Collectibles revenue grew from \$4.8 million to \$6.4 million, an increase of 31.9%, driven by an 81.9% rise in average selling price that more than offset a 27.5% decline in unit volume. This performance reflects the impact of the Company's acquisition of Handmade by Robots in December 2024, which introduced a broader pipeline of licensed merchandise tied to key theatrical and streaming properties. Electronics revenue declined from \$2.4 million to \$1.9 million,

reflecting a 34.2% decrease in average selling price, partially offset by a 21.6% increase in unit volume due to shifts in product mix and continued competitive pricing pressures.

We believe that the company's collectibles offer a significant growth opportunity over the long term. Management sees Handmade by Robots as a key pillar of its long-term collectibles strategy, but the company's Funko and Hasbro collectibles also offer rapid revenue growth opportunities, with high margin. Currently, the collectible pipeline includes Jurassic World, Peanuts, Sonic, and SpongeBob, among others, rolling out through fiscal 2026. Management is building out the collectible team and expects more meaningful financial impact in fiscal 2027 and fiscal 2028, given Alliance's overall scale.

Gaming Products

Gaming product revenue declined from \$57.1 million to \$45.6 million, or 20.2%, as the gaming industry continued to experience a cyclical slowdown. While unit volume increased 42% year over year, average selling price fell 43.8%, reflecting a pause in arcade hardware purchases following a reassessment of vendor partnerships, as well as limited hardware availability and delays in major game releases. Despite these challenges, underlying demand remains healthy, and the company continues to adjust its offerings and inventory strategy in anticipation of next-generation console activity and continued consumer interest in physical gaming formats.

We have low expectations for this segment going forward, anticipating declines in revenue in the range of 20%. Revenue trends should moderate in fiscal 2027, in our view.

Figure #1 Fiscal First Quarter Results

Alliance Entertainment			
Total Consolidated			
(In thousands except per share data)	Q1 26E Sep	Q1 26R Sep	% Change
Total Revenues	244.051	253.974	4.1%
Growth	6.6%	10.9%	
% of Fiscal Full Year Revenues	22.1%	22.1%	
Cost of Revenues	210.372	216.793	3.1%
Growth	3.4%	6.6%	
% of Revenues	86.2%	85.4%	
Gross Profit	33.679	37.181	10.4%
Growth	31.9%	45.6%	
% of Revenues	13.8%	13.8%	
Operating Expenses		0.000	
Distribution and Fulfillment Expense	9.640	9.920	2.9%
Growth	6.9%	10.0%	
% of Revenues	4.0%	3.9%	
Selling, General and Administrative Expense	14.643	15.078	3.0%
Growth	11.4%	14.7%	
% of Revenues	6.0%	5.9%	
Stock based compensation	0.125	0.125	
Adjusted EBITDA	9.521	12.208	28.2%
Growth	182.4%	262.0%	
Margin	3.9%	4.8%	
Depreciation & Amortization	1.350	1.286	-4.7%
Transaction Costs		0.370	
IC DISC Commissions		-	
Restructuring Costs		-	
Gain on Disposal of Fixed Assets		(0.020)	
Total Operating Expenses	25.633	26.634	3.9%
Growth	9.3%	13.5%	
% of Revenues	10.5%	10.5%	
Operating income (loss)	8.046	10.547	31.1%
Growth	287.0%	407.3%	
% of Revenues	3.3%	4.2%	
Change in fair value of warramts		1.462	
Interest expense	2.295	2.347	
Other expenses (income), net		-	
Total other expense	2.295	3.809	
Income before income taxes	5.751	6.738	17.2%
Provision for income taxes	1.438	1.858	
Effective Tax Rate	25.0%	25.0%	
Net Income	4.313	4.880	13.1%
Net fully diluted income per Share	\$0.08	\$0.10	13.4%
Net Fully Diluted Shares	51.100	50.996	

Source: Company Reports & Noble Financial

Figure #2 Fiscal Q2 and Fiscal Full Year 2026 Revisions

Alliance Entertainment					
Total Consolidated	Q2 26E	Q2 26 R	%	2026E	2026 R
(In thousands except per share data)	Dec	Dec	Change		
Total Revenues	394.876	402.161	1.8%	1,089.000	1,096.953
<i>Growth</i>	0.3%	2.2%		2.4%	3.1%
Cost of Revenues	330.906	337.011	1.8%	920.000	933.853
<i>Growth</i>	-5.8%	-4.1%		-1.1%	0.3%
<i>% of Revenues</i>	83.8%	83.8%		84.5%	85.1%
Gross Profit	63.970	65.150	1.8%	169.000	163.174
<i>Growth</i>	51.3%	54.1%		27.2%	22.8%
<i>% of Revenues</i>	16.2%	16.2%		15.5%	14.9%
Operating Expenses		0.000			
Distribution and Fulfillment Expense	15.598	15.885	1.8%	43.016	43.221
<i>Growth</i>	25.6%	27.9%		6.5%	7.0%
<i>% of Revenues</i>	4.0%	3.9%		4.0%	4.0%
Selling, General and Administrative Expense	23.693	24.130	1.8%	64.788	65.661
<i>Growth</i>	71.7%	74.9%		15.3%	16.9%
<i>% of Revenues</i>	6.0%	6.0%		6.0%	6.0%
Stock based compensation	0.125	0.125		0.500	0.500
Adjusted EBITDA	24.805	25.260	1.8%	51.549	54.692
<i>Growth</i>	54.3%	57.2%		41.8%	50.4%
<i>Margin</i>	6.3%	6.3%		4.7%	5.0%
Depreciation & Amortization	1.350	1.350	0.0%	5.400	5.336
Transaction Costs	-	-		-	0.370
IC DISC Commissions	-	-		-	-
Restructuring Costs	-	-		-	-
Gain on Disposal of Fixed Assets	-	-		-	(0.020)
Total Operating Expenses	40.640	41.365	1.8%	112.840	114.568
<i>Growth</i>	47.8%	50.5%		9.9%	11.5%
<i>% of Revenues</i>	10.3%	10.3%		10.4%	10.4%
Operating income (loss)	23.330	23.785	2.0%	45.649	48.606
<i>Growth</i>	57.7%	60.7%		51.5%	61.3%
<i>% of Revenues</i>	5.9%	5.9%		4.2%	4.4%
Change in fair value of warramts	-	-		1.600	3.062
Interest expense	2.950	2.950		6.345	6.397
Other expenses (income), net	-	-		-	-
Total other expense	2.950	2.950		7.945	9.459
Income before income taxes	20.380	20.835	2.2%	37.704	39.147
Provision for income taxes	5.095	5.209		9.426	9.960
<i>Effective Tax Rate</i>	25.0%	25.0%			
Net Income	15.285	15.626	2.2%	28.278	29.187
Net fully diluted income per Share	\$0.30	\$0.31	2.2%	\$0.55	\$0.57
Net Fully Diluted Shares	51.100	51.100		51.100	51.100

Source: Company Reports & Noble Financial

Company Profile

Alliance Entertainment (Nasdaq: AENT) is a premier distributor and fulfillment partner serving the entertainment and collectibles industry. The company provides a broad range of products across music, video, video games, licensed merchandise, and pop culture collectibles, reaching major online marketplaces and tens of thousands of retail storefronts. Alliance's platform is distinguished by its exclusive content partnerships with leading studios and labels, including Paramount Pictures, and its growing presence in higher-margin categories such as collectibles through brands like Handmade by Robots and its partnership with Master Replicas. The company significantly expanded its scale in 2013 through the acquisition of the Alliance Entertainment brand. Since then, it has completed more than a dozen acquisitions and today operates with a capital-light, asset-based model supported by nationwide logistics capabilities. Headquartered in Plantation, Florida, Alliance continues to build on its role as a key intermediary between content owners and retailers.

Fundamental Analysis 3.5/5.0 Checks

We assign a fundamental score of 3.5 out of 5.0, which is above average. The company scores highly on financial leverage following its low-cost revolving credit facility and lack of long-term debt, as well as on competitive position given its exclusive distribution agreements and leadership in physical media and collectibles. Experienced management is another strength, though the potential dilutive impact of equity awards remains a consideration. The lowest scoring attribute is operating leverage, as the business continues to work toward margin expansion through licensing and collectibles. Overall, Alliance's strong positioning and balance sheet flexibility provide a solid foundation, while execution on margin improvement will be key to lifting the fundamental profile further.

Valuation Summary

Near current levels, the shares trade at 7.2x calendar 2026 adj. EBITDA, a meaningful discount to the peer group average of roughly 11x. We believe this gap undervalues the company's ability to generate improved adj. EBITDA through higher-margin revenue streams. Our price target is \$11, which reflects a valuation more in line with peer multiples on EV/2026 EBITDA. Importantly, our valuation framework is grounded in what we view as conservative assumptions, leaving room for positive surprise if execution exceeds expectations. Looking forward, we anticipate margin improvement driven by increased licensing revenue and expansion of the Collectibles business. Cash flow leverage is expected to follow from this margin mix shift, while further consolidation in the distribution industry presents an additional catalyst. Alliance has a demonstrated history of executing accretive tuck-in acquisitions, and its financing structure provides the flexibility to pursue further M&A that can augment the revenue growth profile.

In our view, the shares present a compelling risk/reward opportunity. AENT is trading below its peer set despite broad distribution scale and improving unit economics. The combination of balance sheet improvements, margin expansion, and potential consolidation should support multiple expansion toward peer averages, with additional upside if industry conditions or M&A opportunities provide incremental tailwinds.

Risks to achieving our price target include potential shifts in consumer demand away from physical media, supply chain or logistics disruptions, loss of key supplier or customer relationships, execution risk around acquisitions, and broader macroeconomic pressures such as tariffs, inflation, or rising interest rates.

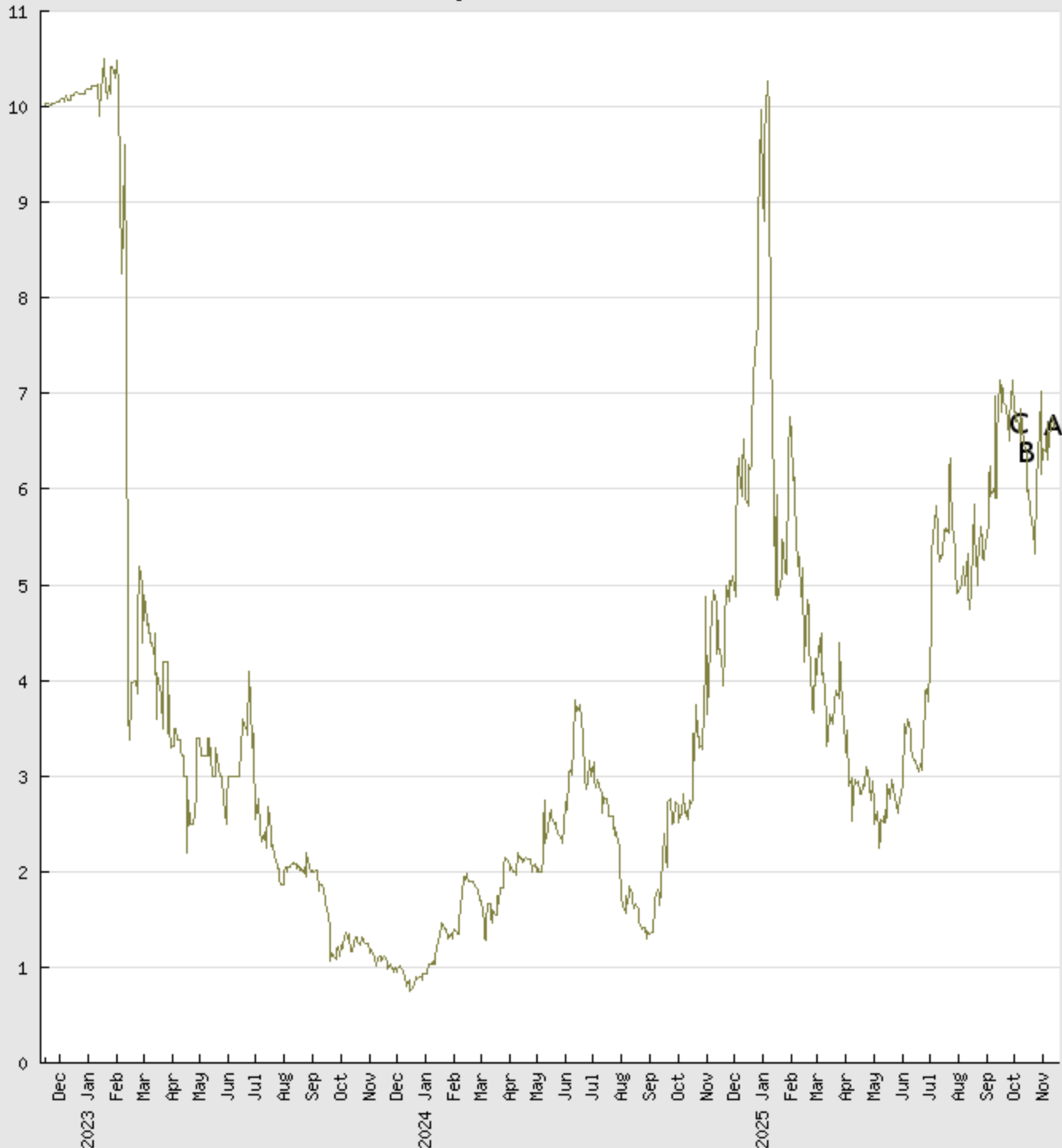
Alliance Entertainment

Total Consolidated	Q1 25	Q2 25	Q3 25	Q4 25	2025	Q1 26	Q2 26E	Q3 26E	Q4 26E	2026E	2027E
(In thousands except per share data)	Sep	Dec	Mar	Jun		Sep	Dec	Mar	Jun		
Total Revenues	228.990	393.672	213.045	227.750	1,063.457	253.974	402.161	217.434	223.458	1,096.953	1,123.000
Growth	1.0%	-7.5%	0.9%	-3.9%	-3.4%	10.9%	2.2%	2.1%	-1.9%	3.1%	2.4%
% of Fiscal Full Year Revenues	21.5%	37.0%	20.0%	21.4%		22.1%	38.0%	20.6%	22.7%		
Cost of Revenues	203.455	351.382	183.984	191.784	930.605	216.793	337.011	187.428	192.621	933.853	945.000
Growth	1.5%	-7.0%	0.4%	-8.7%	-4.2%	6.6%	-4.1%	1.9%	0.4%	0.3%	1.2%
% of Revenues	88.8%	89.3%	86.4%	84.2%	87.5%	85.4%	83.8%	86.2%	86.2%	85.1%	84.1%
Gross Profit	25.535	42.290	29.061	35.966	132.852	37.181	65.150	30.006	30.837	163.174	178.000
Growth	-2.7%	-11.3%	3.7%	33.6%	3.1%	45.6%	54.1%	3.3%	-14.3%	22.8%	9.1%
% of Revenues	11.2%	10.7%	13.6%	15.8%	12.5%	13.8%	16.2%	13.8%	13.8%	14.9%	15.9%
Operating Expenses											
Distribution and Fulfillment Expense	9.018	12.419	9.989	8.949	40.375	9.920	15.885	8.589	8.827	43.221	44.920
Growth	-23.0%	-18.0%	-10.2%	-17.4%	-17.3%	10.0%	27.9%	-14.0%	-1.4%	7.0%	3.9%
% of Revenues	3.9%	3.2%	4.7%	3.9%	3.8%	3.9%	3.9%	4.0%	4.0%	4.0%	4.0%
Selling, General and Administrative Expense	13.145	13.800	14.187	15.040	56.172	15.078	24.130	13.046	13.407	65.661	67.381
Growth	-9.0%	-9.0%	0.8%	7.6%	-2.6%	14.7%	74.9%	-8.0%	-10.9%	16.9%	2.6%
% of Revenues	5.7%	3.5%	6.7%	6.6%	5.3%	5.9%	6.0%	6.0%	6.0%	6.0%	6.0%
Stock based compensation				0.058		0.125	0.125	0.125	0.125	0.500	0.500
Adjusted EBITDA	3.372	16.071	4.885	12.035	36.363	12.208	25.260	8.496	8.728	54.692	59.340
Growth	136.0%	-7.6%	73.5%	472.8%	53.1%	262.0%	57.2%	73.9%	-27.5%	50.4%	8.5%
Margin	1.5%	4.1%	2.3%	5.3%	3.4%	4.8%	6.3%	3.9%	3.9%	5.0%	5.3%
Depreciation & Amortization	1.258	1.255	1.352	1.289	5.154	1.286	1.350	1.350	1.350	5.336	5.600
Transaction Costs	-	-	-	0.957	0.957	0.370	-	-	-	0.370	-
IC DISC Commissions	-	-	-	-	-	-	-	-	-	-	-
Restructuring Costs	0.050	0.019	0.004	-	0.073	-	-	-	-	-	-
Gain on Disposal of Fixed Assets	(0.015)	-	-	-	(0.015)	(0.020)	-	-	-	(0.020)	-
Total Operating Expenses	23.456	27.493	25.532	26.235	102.716	26.634	41.365	22.985	23.584	114.568	117.902
Growth	-15.8%	-13.3%	-11.4%	-0.6%	-10.5%	13.5%	50.5%	-10.0%	-10.1%	11.5%	2.9%
% of Revenues	10.2%	7.0%	12.0%	11.5%	9.7%	10.5%	10.3%	10.6%	10.6%	10.4%	10.5%
Operating income (loss)	2.079	14.797	3.529	9.731	30.136	10.547	23.785	7.021	7.253	48.606	53.240
Growth	-231.0%	-7.5%	-541.1%	1708.7%	113.1%	407.3%	60.7%	99.0%	-25.5%	61.3%	9.5%
% of Revenues	0.9%	3.8%	1.7%	4.3%	2.8%	4.2%	5.9%	3.2%	3.2%	4.4%	4.7%
Change in fair value of warrants	-	2.545	(1.676)	(0.016)	0.853	1.462	-	1.000	0.600	3.062	1.600
Interest expense	2.839	2.827	2.435	2.474	10.575	2.347	2.950	0.450	0.650	6.397	5.100
Other expenses (income), net	-	-	-	-	-	-	-	-	-	-	-
Total other expense	2.839	5.372	0.759	2.458	11.428	3.809	2.950	1.450	1.250	9.459	6.700
Income before income taxes	(0.760)	9.425	2.770	7.273	18.708	6.738	20.835	5.571	6.003	39.147	46.540
Provision for income taxes	(1.157)	2.354	0.919	1.514	3.630	1.858	5.209	1.393	1.501	9.960	11.635
Effective Tax Rate	152.2%	25.0%	33.2%	20.8%		25.0%	25.0%	25.0%	25.0%		
Net Income	0.397	7.071	1.851	5.759	15.078	4.880	15.626	4.178	4.502	29.187	34.905
Net fully diluted income per Share	\$0.01	\$0.14	\$0.04	\$0.11	\$0.30	\$0.10	\$0.31	\$0.08	\$0.09	\$0.57	\$0.68
Net Fully Diluted Shares	50.966	50.966	50.966	50.966	50.966	50.996	51.100	51.100	51.100	51.100	51.300

Source: Company Reports & Noble Financial

Alliance Entertainment Holding

Closing Price Nov 13, 2025 \$6.66



A - 11/13/2025 Outperform Target \$11.00 Current \$6.66

B - 10/14/2025 Outperform Target \$11.00 Current \$6.37

C - 10/06/2025 Outperform Target \$11.00 Current \$6.67

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The fundamental assessment rating system is designed to provide insights on the company's fundamentals both on a macro level, which incorporates a company's market opportunity and competitive position, and on a micro/company specific level. The micro/company specific attributes include operating & financial leverage, and corporate governance/management. The number of check marks that a company receives is designed to provide a quick reference and easy determination of the company's fundamentals based upon the following five attributes of the company (weighting reflects the importance of each attribute in the overall scoring of company's fundamental analysis):

Attribute	Weighting
Corporate Governance/Management	20%
Market Opportunity Analysis	20%
Competitive Position	20%
Operating Leverage	20%
Financial Leverage	20%

For each attribute, the analysts score the company from a low of zero to a high of ten based upon the analysis described below. The final rating and resulting check marks is a result of dividing the overall score (out of 100%) by ten.

Rating	Score	Checks
Superior	9.1 to 10	Five Checks
Superior	8.1 to 9	Four & A Half Checks
Above Average	7.1 to 8	Four Checks
Above Average	6.1 to 7	Three & A Half Checks
Average	5.1 to 6	Three Checks
Average	4 to 5	Two & A Half Checks
Below Average	3 to 3.9	Two Checks
Below Average	2 to 2.9	One & A Half Checks
Low Quality	0 to 1.9	One Check

While these are the attributes currently used for the analyst's fundamental analysis, the attributes and weighting may be reviewed, updated with additional attributes, and/or changed in the future based on discussions with the analysts and recommendations from the Director of Research.

Following is the description of each attribute in the fundamental analysis.

Corporate Governance/Management

We believe that a review of corporate governance and assessment of the senior management are important tools to determine investment merit. Good corporate governance aligns management with the interests of stakeholders. As such, analysts are to rank the company on the basis of good corporate governance principles that may include rules and procedures, board composition and staggered term limits, rights and responsibilities, corporate objectives, monitoring of actions and policies, and accountability. In addition, analysts will assess issues with controlling shareholders and whether decisions have been made in the past that were in the interests of all shareholders. In addition, management will be assessed based on industry experience, expertise, and/or track record.

High ranking example: Board and management that is aligned with the interests of shareholders with incentives based on stock price appreciation and with an experienced management team known for exceptional shareholder returns.

Low ranking example: Concentrated ownership without independent directors that do not necessarily align with all shareholders' interests.

The Market Opportunity Analysis

In this review, the analyst assesses the company's macro environment as a measure of understanding the industry. Factors considered include the size and growth potential of the industry under various economic conditions, the emerging demands in the market, technological benefits/disruptions, competition, geographical opportunities, and customer demands/needs, and an assessment of supply and distribution channels. In addition, the analyst will review legal and regulatory trends, as well as potential shifts in consumer or social behavior and natural environment changes.

High rank example: A company in an industry that is growing revenues well above GDP rates (which are on average 2% plus) and/or may have unmet or underserved needs in a rapidly growing market opportunity.

Low rank example: A mature industry that is in secular decline and likely to grow below GDP rates.

Competitive Position

The evaluation of the company's competitive position is another macro environment attribute designed to measure the relevance, market share, position and value proposition, and sustainable differentiations of the company and its products/services within its industry. Ease of entry into the industry and the ability of other well-funded players to potentially enter the market would be determined. As such, the assessment would consider the company's strengths and advantages of its products/services against weaknesses and limitations. This may include the company's current brand awareness, pricing and cost structure, current market strategies and geographic penetration that may affect demand for its products/services. In addition, the company's competitors would be evaluated.

High rank example: An analyst would consider the company's product to be superior to its competitors and that should allow the company to gain market share.

Low rank example: A company with a "me-too" product that does not have any significant technology advantages in an industry that has low barriers to entry.

Operating Leverage

Simplistically, operating leverage is determined by the operating income relative to changes in revenue. The analyst will calculate the impact on sensitivity on gross margins and variable costs to determine operating leverage. The analyst will take into account the ability of the company to cut fixed and variable costs in a challenged revenue environment and technological changes that may impact operating expenses. In addition, the analyst is to assess corporate strategies that include capital investment, which may be required for sustainable revenue growth, marketing expenses, and the company's ability to attract and retain talent and/or employees. The analyst should focus on the revenue opportunity and determine the price elasticity of demand for the company's products or services. In other words, the analyst is to rank the company based on improved operating margins going forward on an absolute and relative basis.

High rank example: A company that has improving margins for the foreseeable future, with significant price elasticity.

Low rank example: A company that is in a challenged revenue environment with a fixed cost structure and limited ability to cut costs, indicating an outlook for declining margins.

Financial Leverage

A strict definition of financial leverage is total debt divided by total shareholder's equity. Financial leverage analysis is to determine the company's ability to improve shareholder value by means of utilizing its balance sheet to grow organically or to acquire assets. Analysts may look at the company's debt to cash flow leverage ratio, interest coverage ratios, or debt to equity ratios. In addition, the interest rate environment and the outlook for interest rates are a factor in determining the company's ability to manage financial leverage. Finally, the analyst is expected to determine the ability to service the debt given the industry and/or company profile, such as cyclical, barriers to entry, history of bankruptcy, consistency in revenue and profit growth, or predictability in sales and profits and large cash reserves. The analyst is expected to take into account capital intensity of the company and the anticipated of capital allocation decisions.

High rank example: A company with predictable and growing revenue and cash flow with modest debt levels. This may indicate that the company could improve shareholder value through growth investments, including acquisitions, using debt financing.

Low rank example: A company in a cyclical industry in a late stage economic cycle that has above average debt leverage and is in an industry that has a history of financial challenges, including bankruptcies.

ANALYST CREDENTIALS, PROFESSIONAL DESIGNATIONS, AND EXPERIENCE

Director of Research. Senior Equity Analyst specializing in Media & Entertainment. 34 years of experience as an analyst. Member of the National Cable Television Society Foundation and the National Association of Broadcasters. BS in Management Science, Computer Science Certificate and MBA specializing in Finance from St. Louis University.

Named WSJ 'Best on the Street' Analyst six times.

FINRA licenses 7, 24, 66, 86, 87.

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Unless otherwise noted through the dropping of coverage or change in analyst, the analyst who wrote this research report will provide continuing coverage on this company through the publishing of research available through Noble Capital Market's distribution lists, website, third party distribution partners, and through Noble's affiliated website, channelchek.com.

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Outperform: potential return is >15% above the current price	87%	17%
Market Perform: potential return is -15% to 15% of the current price	13%	4%
Underperform: potential return is >15% below the current price	0%	0%

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